

shopping cart over someone's foot in a supermarket, your liability coverage may pay for his or her medical expenses if you're found liable. If you have a pet, your policy will often cover you for damage the pet does to people or their property as well.

Many homeowners policies come with a standard amount of liability insurance: a minimum of \$100,000 per accident. In these litigious times, this may not be enough. There's no perfect way to figure out how much you need. To get a rough idea, tally up all your major assets including your home, your car, your possessions, and your investments (including retirement savings). The amount of liability coverage you get should exceed this amount. Sometimes the additional cost of coverage up to \$500,000 is only a dollar or two per month.

What's Covered and What's Not

Your insurance options here are vaguely reminiscent of high school chemistry—in most states, you can choose HO-2 or HO-3. Insurance agents sometimes refer to these two classifications as broad (HO-2) and special (HO-3) coverage. If you can afford it, buy HO-3. It doesn't cost much more than HO-2, and it covers a much wider range of perils. But certain situations, such as earthquakes and floods, aren't covered by either of the standard homeowners policies.

There are other limits on what most homeowners policies cover. For example, many policies provide only \$1,000 to \$2,000 of theft coverage for valuables like jewelry. If this isn't enough to replace what you own, purchase extra protection by adding an endorsement, sometimes referred to as a floater. This is simply an amendment to your insurance policy to protect a specific item. With an endorsement, you can, for example, increase the coverage on your valuables—such as Grandma's silver tea set—from \$2,000 to \$10,000 if they are worth that much. The cost for this increase in coverage would range from \$15 to \$100 per year.

Many homeowners policies include **off-premises** protection, which covers your possessions outside your home—whether you're mugged while on vacation or your bike is stolen on the sidewalk. If, for example, your portable computer or luggage is lost or taken when you're trekking around